

PMIs show bottoming out rather than recovery

- The Eurozone flash composite PMI rose 1pt to 49.5 in June, a 3-month high, pointing to activity bottoming out after the Iran shock, but not yet recovering. The PMIs remaining in contractionary territory in June supports our view that the economic fallout from the US/Israel conflict with Iran will be concentrated in Q2.
- The rebound was led by an improvement in services although the sector remained below the neutral mark with the release pointing to weak underlying demand. Manufacturing saw declines in both the headline and output indices, but crucially both indices remained in expansionary territory.
- Cost and output price pressures declined in June despite most responses coming before the latest de-escalation of the conflict in the Middle East. This suggests that the shock was losing some momentum, but pressures remained elevated. July's release will give a cleaner read on the scale of relief from the latest agreement.

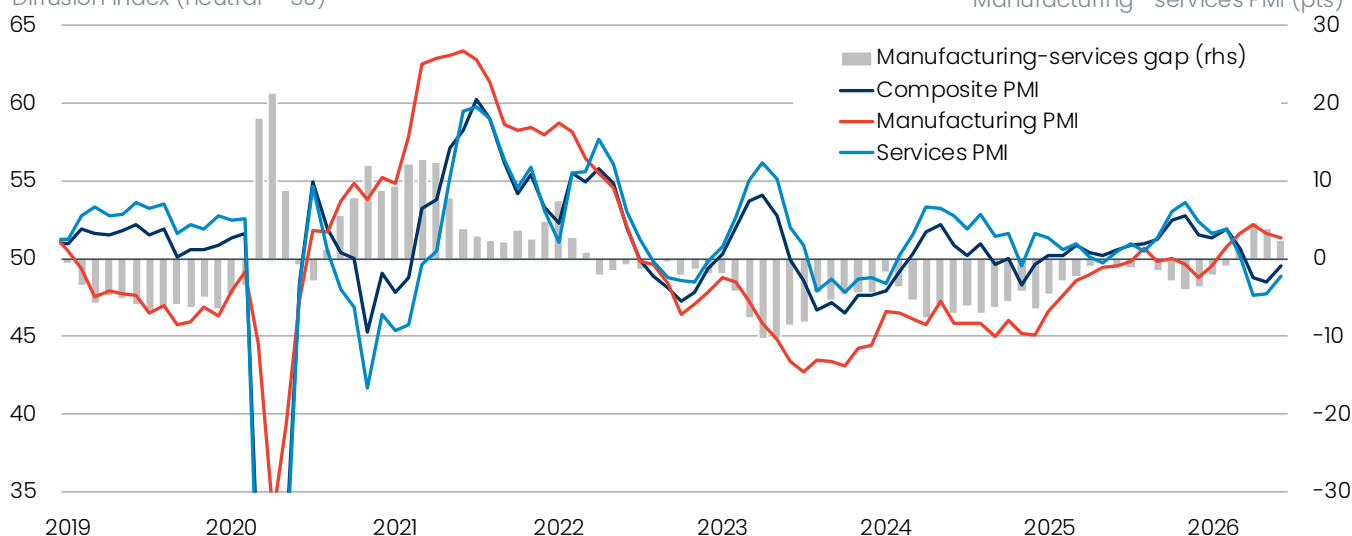
The composite Eurozone flash PMI rose 1pt to 49.5 in June, a three-month high which points to activity bottoming out after the Iran shock but not recovering just yet. The rise was led by an improvement in services, up 1.2pts to 48.9 while manufacturing saw a marginal decline of 0.3 pts to 51.3. Manufacturing new orders rose marginally, as the sector continues to show [resilience](#) and is still supported by inventory build-up and efforts to front-run further price rises and supply disruption. But this was outweighed by another fall in services demand, leaving total new orders contracting for a fourth consecutive month. Supplier delivery times also lengthened again, suggesting supply chains remain stressed, although the deterioration was less pronounced than in May. Importantly, most responses came before the latest agreement between the US and Iran, so July's survey should give a cleaner read on any post-agreement boost, although the deal remains fragile.

Chart 1: The PMIs improved but remain in contractionary territory

Eurozone: PMI

Diffusion index (neutral = 50)

Manufacturing - services PMI (pts)



Sources: Oxford Economics, S&P Global

Price pressures offered a slightly more encouraging signal. Input cost pressures were at their lowest since just before the outbreak of war in the Middle East months and output price pressures declined albeit at a lesser extent. Maybe most notable, output price increases in services have remained contained throughout the conflict, underpinning our view that the shock isn't large enough to trigger material second-round inflation effects. Given that most of the PMI responses come from before the latest de-escalation of the US/Israel conflict with Iran, this suggests that the price shock should continue to lose some momentum, trimming some upside risk to our near-term inflation forecast but not enough to point to a change in our forecast at this stage. Cost pressures remain significantly elevated, and the agreement remains friable. We expect July's release will give a cleaner read on the scale of boost to demand and dampening effect on prices.

In Germany, the PMIs weakened further, with the composite index falling to 48.0, an 18-month low, and the latest data points to further job losses with the rate unchanged from last month. The decline was driven by services, where activity fell to its lowest level in more than three-and-a-half years. The services sector also experienced the sharpest fall in new-orders in almost two-and-a-half years and failed to reduce backlogs pointing to significant spare capacity. Contrastingly, the manufacturing sector showed some resilience despite the current headwinds with the headline PMI holding at the neutral 50.0 mark, and the manufacturing output index rose 0.4pts to 50.8, supported by a marginal uptick in new orders. The softness in the German PMIs supports our view that the economy likely contracted in Q2.

In France, the PMIs posted a modest rebound but remained firmly in contractionary territory for a sixth consecutive month. The composite index rose 2.7pts to 47.6, led by a 3.1pt jump in services activity that unwound last month's sharp decline. The manufacturing PMI also climbed back into expansionary territory at 50.7, although the output index remained contractionary. This supports the view that activity is bottoming out but not yet recovering. Firms were more confident about sales over the next 12 months, but new orders contracted for a seventh consecutive month. Price pressures softened but remained elevated. Given the timing of the survey, the July figures should give a clearer read on any price relief from the latest US-Iran agreement.

The outlook has improved slightly but remains fragile. Business confidence ticked up, while yesterday's consumer confidence release also showed a modest improvement, rising to -17.7 from -19.0 in May. That supports the view that sentiment is past its trough. But confidence remains weak, new orders are still falling, and the US-Iran agreement remains fragile. We therefore still expect a subdued Q2 for activity, followed by only a gradual improvement from Q3.